



# **CHAPTER – 01**

## **ACCOUNTING BASICS**



(2)

# **RULES OF DOUBLE ENTRY BOOK KEEPING**

# **RULES OF DOUBLE ENTRY BOOK KEEPING**

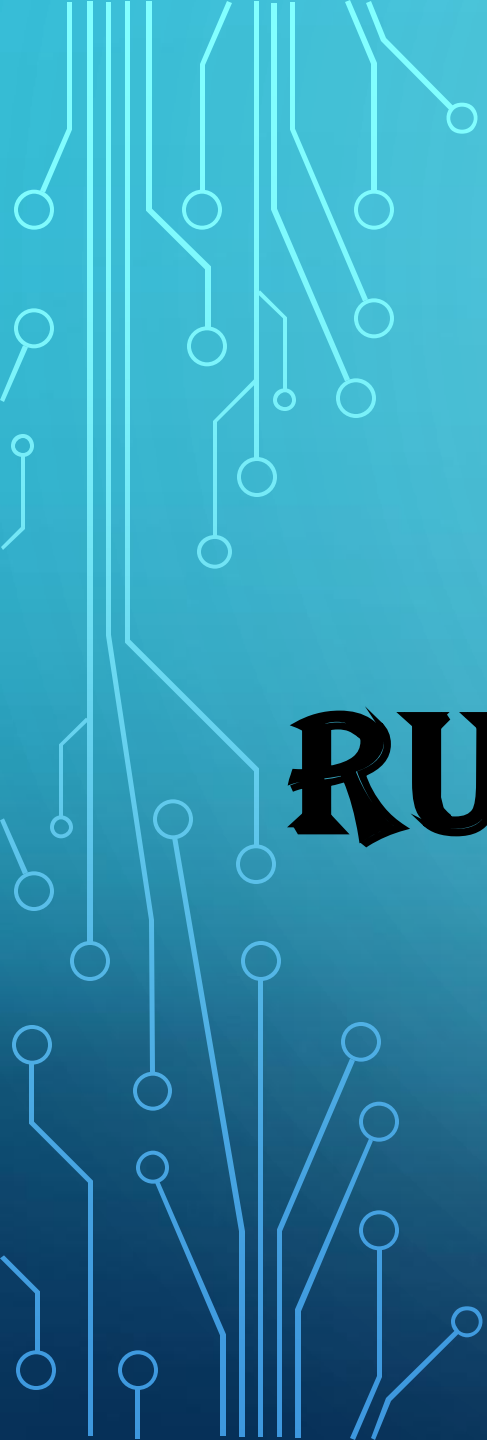


- Rules of double entry book keeping

- Rules of sales & purchases

- Book used to record transactions;

- Format of general journal



(1)

# **RULES OF DOUBLE ENTRY BOOK KEEPING**

# RULES OF DEBIT & CREDIT

**DEBIT  
(DR)**

**CREDIT  
(CR)**

ASSETS

LIABILITIES

EXPENSES

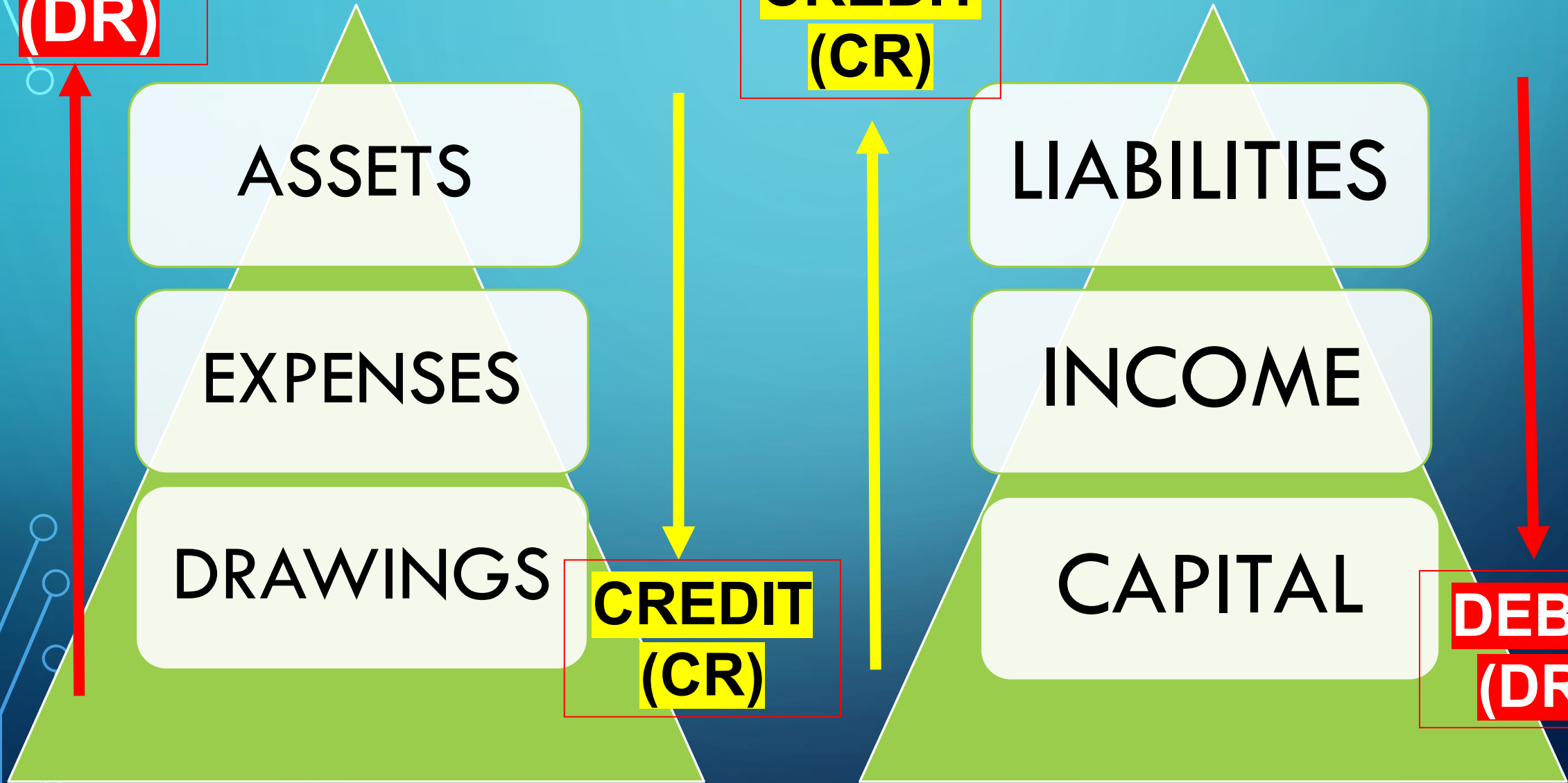
INCOME

DRAWINGS

**CREDIT  
(CR)**

CAPITAL

**DEBIT  
(DR)**



# RULES OF DEBIT & CREDIT

Every transaction is recorded twice

As a debit  
entry in one  
account ;

&

As a credit  
entry in another  
account

# RULES OF DEBIT & CREDIT

Total of  
debit  
amount



Total of  
credit  
amount

# **RULES OF DEBIT & CREDIT**

**In any transaction  
same account can  
never carry both  
signs**



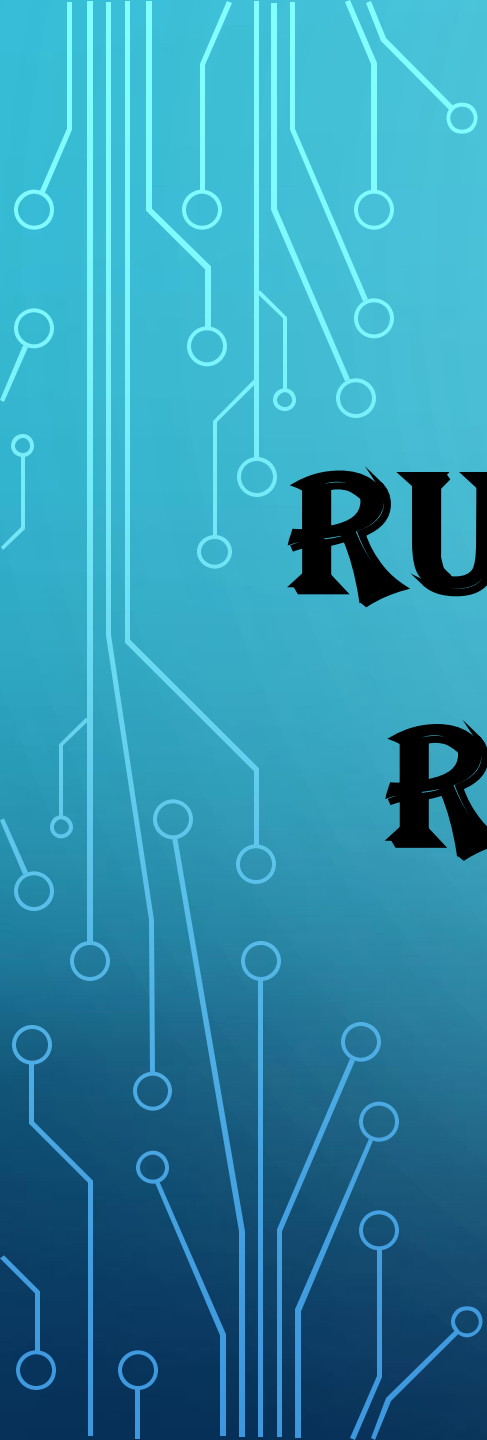
# RULES OF DEBIT & CREDIT

In any transaction there may be more than one debits &/or credits; but

Amount of debit entries must be equal to amount of credit entries.

# IDENTIFICATION OF DEBIT & CREDIT

[illegible]



(2)

**RULES OF DOUBLE ENTRY  
RELATING TO SALES &  
PURCHASES**

# RULES OF DEBIT & CREDIT FOR PURCHASES

**DEBIT  
(DR)**



## Purchases

(Goods bought for sale)

(Increase in an Expense when bought)

## Purchase Return

(Goods return to supplier)

(Decrease in expense when returned)



**CREDIT  
(CR)**

# RULES OF DEBIT & CREDIT FOR SALES

**CREDIT**  
**(CR)**



**Sales**

**(Goods sold)**

**(Increase in income at the time of sales)**

**Sales return**

**(Goods return from customer)**

**(Decrease in income when returned)**



**DEBIT**  
**(DR)**



**(3)**

**RULES OF DOUBLE ENTRY  
RELATING TO EXPENSES  
(OTHER THAN PURCHASES)**

# **RULES OF DEBIT & CREDIT OF EXPENSES OTHER THAN PURCHASES**

**DEBIT  
(DR)**

**Expenses**

**(Other than purchases)**

**(Increase in an Expense when paid)**



**(4)**

**RULES OF DOUBLE ENTRY  
RELATING TO INCOME  
(OTHER THAN SALES)**



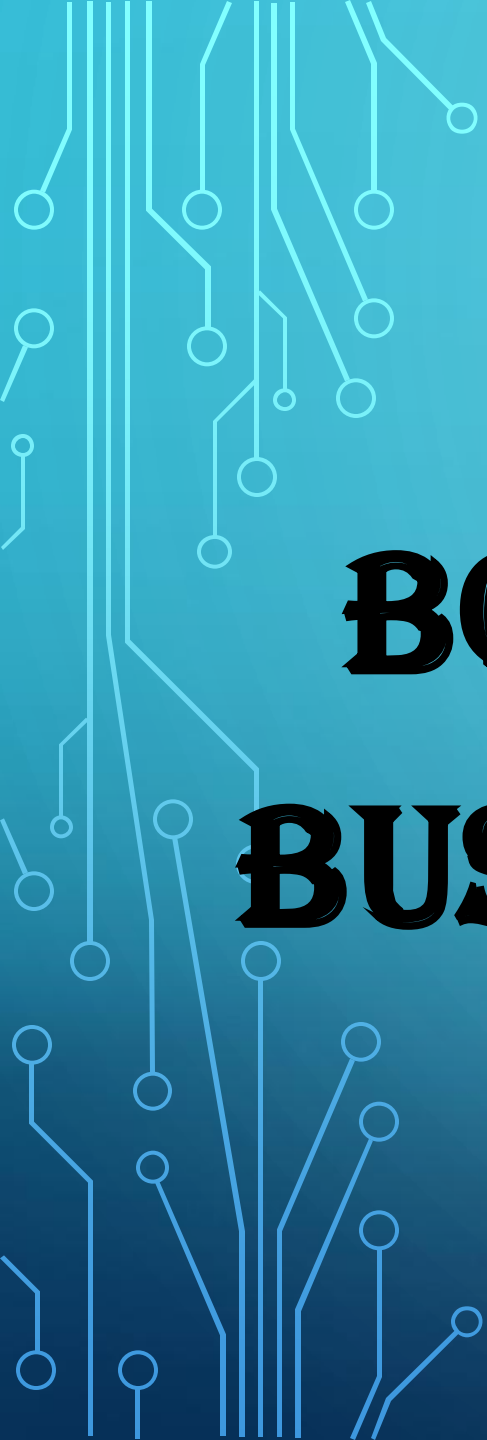
# **RULES OF DEBIT & CREDIT OF INCOME OTHER THAN SALES**

**CREDIT  
(CR)**

**Income**

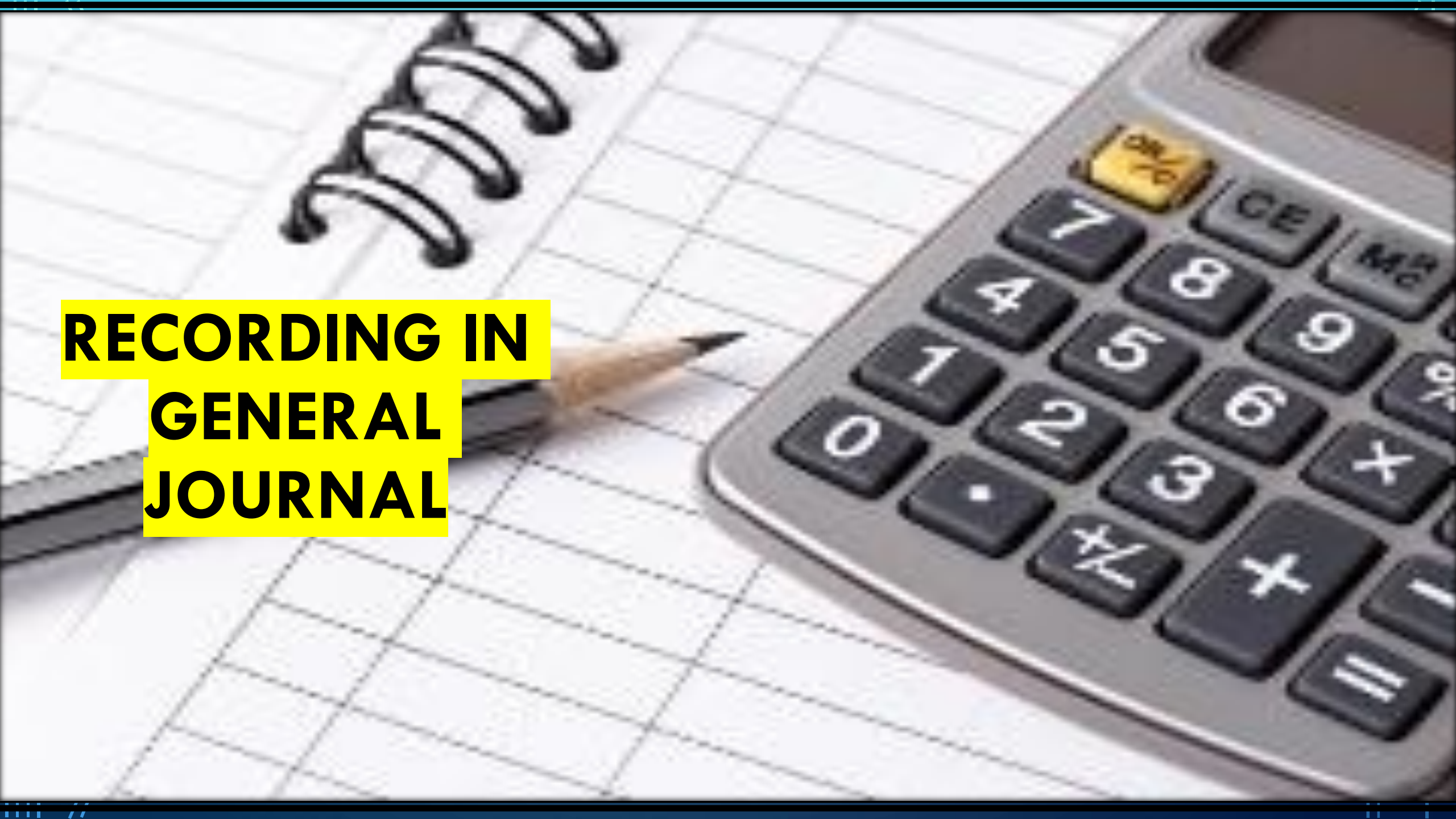
**(Other than sales)**

**(Increase in income when received)**

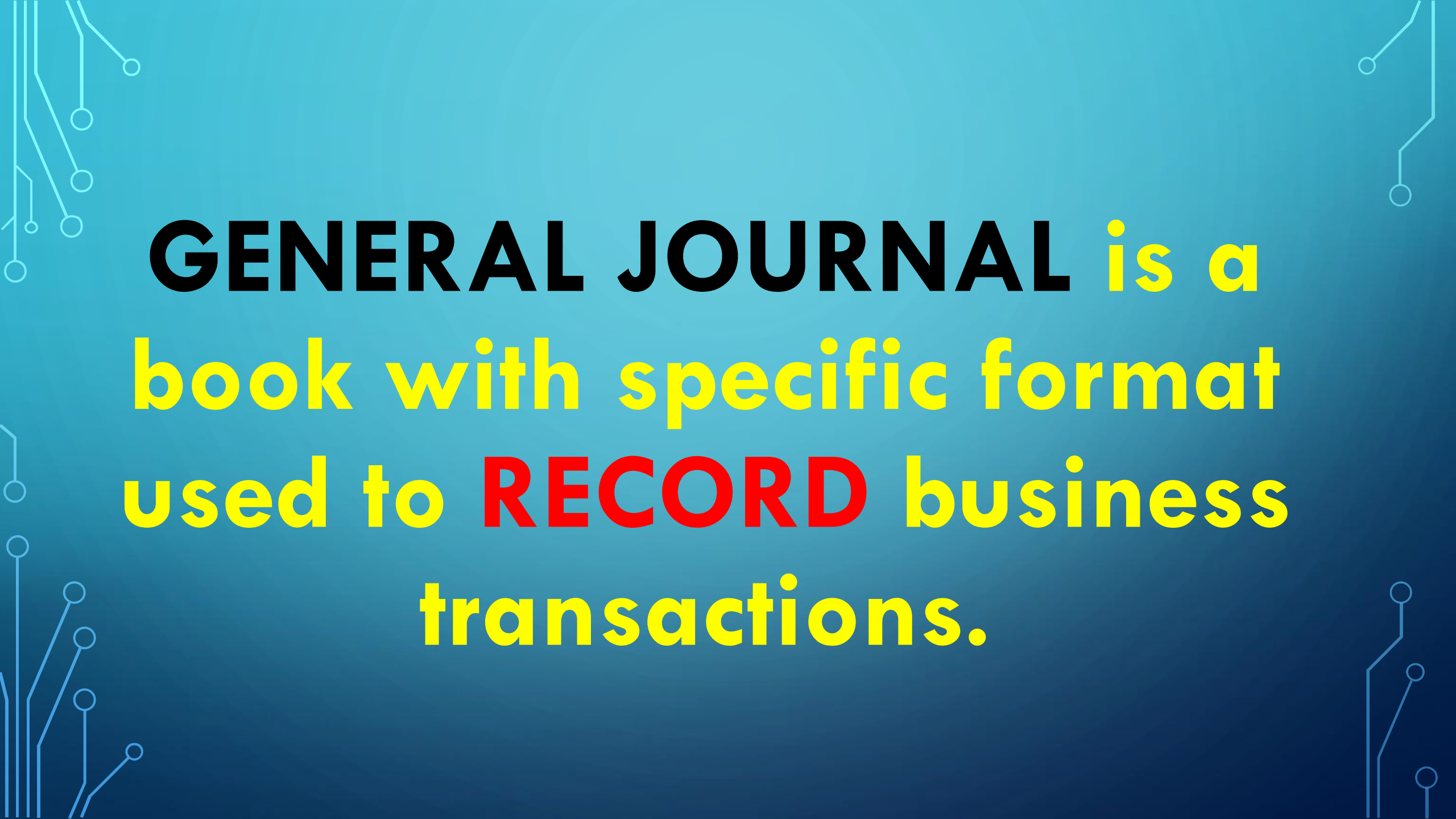


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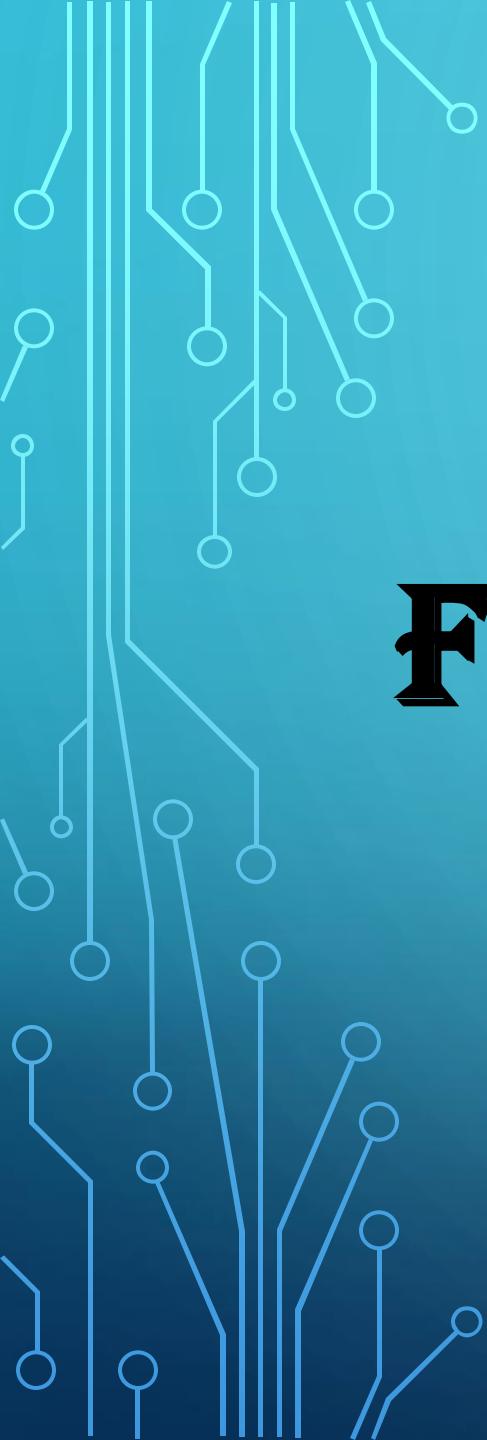
**BOOK USED TO RECORD  
BUSINESS TRANSACTIONS**



# **RECORDING IN GENERAL JOURNAL**

The background is a solid blue gradient. It is decorated with white, stylized circuit board traces. These traces are located in the top-left, top-right, bottom-left, and bottom-right corners, extending towards the center of the frame. Each trace consists of a series of connected line segments and small circles, resembling electronic components or wiring.

**GENERAL JOURNAL** is a  
book with specific format  
used to **RECORD** business  
transactions.



(6)

# **FORMAT OF GENERAL JOURNAL**

# GENERAL JOURNAL

| Date             | Description                      | L/F | Debit<br>Rs. | Credit<br>Rs. |
|------------------|----------------------------------|-----|--------------|---------------|
| 2023<br>Jan – 01 | Cash                             |     | X            |               |
|                  | Bank Loan                        |     |              | X             |
|                  | <u>(Loan received from bank)</u> |     |              |               |
|                  |                                  |     |              |               |
|                  |                                  |     |              |               |
|                  |                                  |     |              |               |



# QUESTION – ANSWER SESSION

